CHAPTER 1: OVERVIEW OF THE TOP DOWN APPROACH

The Top Down Approach is a holistic to detailed approach to investment analysis — starting from the macroeconomic environment, going down to the industry, and then choosing specific stocks. This is the mindset of most professional investment funds on Wall Street.

1.1 Pyramid Structure

The model is envisioned as a pyramid with 5 floors, from top to bottom:

The 5 Floors of the Top Down Pyramid

RISK → Pyramid top: assessment of the overall risk environment

1. MACRO → Macroeconomic analysis, general market
2. SECTOR → Identify leading and weak sectors
3. SCAN STOCK → Filter potential stocks in strong industries
4. FUNDAMENTAL → Evaluation of intrinsic value, corporate finance
5. SCAN STRIKE & PROBABILITY → Select the entry point, the probability of winning

RETURN ON INVESTMENT → Bottom: the final result

1.2 Why Use Top Down?

- **Don't get caught up in each stock without understanding the big picture.**
- **Invest in favor of macro cash flows and industry trends.**
- **Know when to defend, when to attack.**
- **This pattern is particularly strong when combined with an options strategy.**

1.3 Two-dimensional of the model

Observing the figure, each floor of the pyramid has two groups of supporting tools:

Analysis Floor	Tools/Usage Indicators
Macros	Economy, Pain Point, Index Support & Resistance, VIX
Sector	RRG Charts, Macro Theme, Technical Analysis
Scan Stock	Barchart, IV_Percentile, Watchlist, Finviz
Fundamental	Fair/Under valued, Broke down near support, Historical/Implied Vol
Strike & Prob.	Delta, Support, Valuation, Probability